

Due Diligence Report

Tesla

HIGH RISK

Overall risk score: 8/10 Confidence: HIGH

Tesla faces significant legal and regulatory challenges, including multiple high-profile lawsuits and ongoing investigations. These issues, combined with leadership turnover and market position vulnerabilities, contribute to a high overall risk level.

Red flags

Ongoing antitrust lawsuits over alleged monopolistic practices

Numerous race harassment lawsuits from former employees

SEC investigations into securities fraud and financial misreporting

High turnover in senior leadership positions

Detailed assessment

Legal Regulatory

9/10

- Multiple antitrust claims allowed to proceed relating to parts and repairs monopoly.
- Hundreds of race harassment lawsuits against Tesla by former employees.
- SEC and DOJ investigating Elon Musk's claims about Tesla's full self-driving features.

Financial Health

6/10

- Facing potential financial liabilities from lawsuits totalling up to \$14.5 billion.
- Ongoing SEC investigation regarding market manipulation affecting stock price.

Leadership Team

7/10

- High executive turnover; numerous key executives have left the company.

- Recent major resignations, including Andrew Baglino, former SVP.

Market Position

5/10

- Continued challenges from legal and regulatory issues impacting market operations.
- Exposure to potential market shifts and competitive pressures.

Reputational Risk

8/10

- Negative media coverage of legal disputes and executive challenges.
- Reputation risks from SEC and DOJ investigations into leadership claims.

Sources cited

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